

23STCV07501 23STCV07501

County: los-angeles

Division: Civil Law and Motion

Department: 11

Hearing date: 2026-08-04

Source URL: https://www.lacourt.ca.gov/tentativeRulingNet/ui/main.aspx?casetype=civil&dept_date=SS%20%2C11%2C08%2F04%2F2026

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Case Number: 23STCV07501 Hearing Date: August 4, 2026 Dept: 11

Lawrence

(Brazil) v. Dependable Highway Express

MOTION

FOR PRELIMINARY APPROVAL OF CLASS ACTION SETTLEMENT

Date

of Hearing: August 4, 2026 c/f January 28, 2206

Department:

11 (Spring Street)

Case

No.: 23STCV07501 r/t 25STCV34440

TENTATIVE:

Grant.

PRELIMINARY

APPROVAL OF CLASS ACTION SETTLEMENT

As a “fiduciary” of the absent class

members, the trial court’s duty is to have before it sufficient information to

determine if the settlement is fair, adequate, and reasonable. (7-Eleven

Owners for Fair Franchising v. The Southland Corp. (2000) 85 Cal.App.4th 1135,

1151 [citing Dunk v. Ford Motor Co. (1996)

48 Cal.App.4th 11,1044, 1801, 1802 (“Dunk”).])

California Rules of Court, rule

3.769 governs settlements of class actions.

Any party to a settlement agreement may submit a written notice for preliminary approval of the settlement.

The settlement agreement and proposed notice to class members must be filed with the motion, and the proposed order must be lodged with the motion.

(Cal. Rules of Court, rule 3.769(c).)

In determining whether to approve a

class settlement, the court's responsibility is to "prevent fraud, collusion or unfairness to the class" through settlement and dismissal of the class action because the rights of the class members, and even named plaintiffs, "may not have been given due regard by the negotiating parties." (Consumer Advocacy Group, Inc. v. Kintetsu Enterprises of America (2006) 141 Cal.App.4th 46, 60.)

FAIRNESS

OF THE SETTLEMENT AGREEMENT

In an effort to aid the Court in the

determination of the fairness of the settlement, *Wershba v. Apple Computer, Inc.* (2001) 91 Cal.App.4th 224, 244-245 ("Wershba"), discusses factors the

Court should consider when testing the reasonableness of the settlement.

A presumption of fairness exists

where: (1) the settlement is reached through arm's length bargaining; (2) investigation and discovery are sufficient to allow counsel and the Court to act intelligently; (3) counsel is experienced in similar litigation; and (4)

the percentage of objectors is small. (*Wershba*, supra at p. 245 [citing *Dunk*, supra at p. 1802].) The test is not the maximum amount plaintiff

might have obtained at trial on the complaint but, rather, whether the settlement is reasonable under all of the circumstances. (*Wershba*, supra at p. 250.)

In making this determination, the

Court considers all relevant factors including "the strength of [the] plaintiffs' case, the risk, expense, complexity and likely duration of further litigation, the risk of maintaining class action status through trial, the amount offered in settlement, the extent of discovery completed and the stage of the proceedings, the experience and views of counsel, the presence of a

governmental participant, and the reaction of the class members to the proposed settlement.” (Kullar v. Foot Locker Retail, Inc. (2008) 168 Cal.App.4th 116, 128 (“Kullar”) [citing Dunk, supra at p. 1801].)

“The fact that a proposed settlement may only amount to a fraction of the potential recovery does not, in and of itself, mean that the proposed settlement is grossly inadequate and should be disapproved.” (City of Detroit v. Grinnell Corporation (2d Cir. 1974) 495 F.2d 448, 455; see also Linney v. Cellular Alaska Partnership (9th Cir. 1998) 151 F.3d 1234, 1242 [“[I]t is the very uncertainty of outcome in litigation and avoidance of wasteful and expensive litigation that induce consensual settlements. The proposed settlement is not to be judged against a hypothetical or speculative measure of what might have been achieved by the negotiators.”].)

TERMS OF SETTLEMENT AGREEMENT

"Class"

means all drivers who performed work in the Truckload, LTL, and Harbor divisions for Dependable Highway Express, Inc. in California at any point during the Class Period. (Settlement, ¶1.5.)

"Class

Period" means the period from April 5, 2019 through December 6, 2024. (¶1.12)

"Aggrieved Employee" means all current and former drivers in the Truckload, Less-Than-Truckload ("LTL"), and Harbor divisions who performed work for Defendant in California at any time during the PAGA Period. (¶1.4)

"PAGA

Period" means the period from September 17, 2022 through December 6, 2024 or the date of preliminary approval, whichever occurs first. (¶1.32)

Based

on its records, Defendant estimates that, as of June 27, 2024, there are 1,104 Class Members and 84,442 Total Workweeks during the Class Period. Based on its records, Defendant estimates that, as of December 6, 2024, there are 1,143 Class Members and 87,615 total Workweeks during the Class Period. (¶8.1)

· The

Gross Settlement Amount was agreed upon based on Defendant's representations of the total number of Workweeks in the Class Period. If the number of Workweeks during the Class Period exceeds 84,442 by more than ten percent (10%), the Gross Settlement Amount shall be increased on a pro rata basis per Workweek exceeding the 10% increase (i.e. if the number increases by 11%, the Gross Settlement Amount shall be increased by 1%). The Parties agreed at mediation that the end of the Class Period would be the later of December 6, 2024, or the date of preliminary approval. Based on Defendant's records, the total Workweeks during the Class Period did not exceed the agreed upon cap, and this escalator was not triggered. (¶8.2)

The Parties stipulate to class certification for settlement purposes only. (¶12.1)

The Gross Settlement Amount ("GSA") is \$990,000, non-reversionary. (¶3.1)

The Net Settlement Amount ("NSA") of \$597,500 is the GSA minus:

Up to \$330,000 (33.3%) for attorneys' fees (¶3.2.2);

Up to \$25,000 for attorneys' costs (Ibid.);

Up to \$10,000 for an incentive award to the Class Representative (¶3.2.1);

Up to \$12,500 for costs of settlement administration (¶3.2.3); and

Payment of \$15,000 (75% of \$20,000 PAGA penalty) to the LWDA (¶3.2.5).

Funding of the Settlement: Defendant shall fully fund the Gross Settlement Amount by transmitting the funds to the Administrator no later than 14 days after the Effective Date. (¶4.2)

Payments from the Gross Settlement Amount: Within 14 days after Defendant funds the Gross Settlement Amount, the Administrator will mail checks for all Individual Class Payments, all Individual PAGA Payments, the LWDA PAGA Payment, the

Administration Expenses Payment, the Class Counsel Fees Payment, the Class Counsel Litigation Expenses Payment, and the Class Representative Service Payment. Disbursement of the Class Counsel Fees Payment, the Class Counsel Litigation Expenses Payment and the Class Representative Service Payment shall not precede disbursement of Individual Class Payments and Individual PAGA Payments. (§4.3)

No Claim Requirement.

Class Members shall not be required to submit a claim form in order to receive an individual settlement payment. (§3.1)

Calculation of Individual Settlement Payments: An Individual Class Payment calculated by (a) dividing the Net Settlement Amount by the total number of Workweeks worked by all Participating Class Members during the Class Period and (b) multiplying the result by each Participating Class Member's Workweeks. (§3.2.4) Non-Participating Class Members will not receive any Individual Class Payments. The Administrator will retain amounts equal to their Individual Class Payments in the Net Settlement Amount for distribution to Participating Class Members on a pro rata basis. (§3.2.4.2)

· Tax Allocation: 20% as wages and 80% as interest and penalties. (§3.2.4.1)

PAGA Payments: The Administrator will calculate each Individual PAGA Payment by (a) dividing the amount of the Aggrieved Employees' 25% share of PAGA Penalties (\$5,000.00) by the total number of PAGA Period Pay Periods worked by all Aggrieved Employees during the PAGA Period and (b) multiplying the result by each Aggrieved Employee's PAGA Period Pay Periods. Aggrieved Employees assume full responsibility and liability for any taxes owed on their Individual PAGA Payment.

(§3.2.5.1) If

the Court approves PAGA Penalties of less than the amount requested, the Administrator will allocate the remainder to the Net Settlement Amount. (§3.2.5.2)

· Tax Allocation: 100% penalties. (Ibid.)

"Response

Deadline" means 45 days after the Administrator mails Notice to Class Members and Aggrieved Employees, and shall be the last date on which Class Members may: (a) fax, email, or mail Requests for Exclusion from the

Settlement, or (b) fax, email, or mail his or her Objection to the Settlement.

Class Members to whom Notice Packets are resent after having been returned undeliverable to the Administrator shall have an additional 14 calendar days beyond the Response Deadline has expired. (§1.44) The same deadlines apply to workweek/payment challenges. (§17.7)

· If the number of valid Requests for Exclusion exceeds 5% of the total of all Class Members, Defendant may elect to withdraw from the Settlement. (§19)

Uncashed Checks: The

Administrator will cancel all checks not cashed by the void date (not less than 180 days after the date of mailing). (§4.4.1) For any Participating Class Member and/or Aggrieved Employee whose Individual Class Payment check or Individual PAGA Payment check is uncashed and cancelled after the void date, the Administrator shall transmit the funds represented by such checks to the California Controller's Unclaimed Property Fund in the name of the Class Member thereby leaving no "unpaid residue" subject to the requirements of California Code of Civil Procedure Section 384, subd. (b). (§4.4.3)

The Parties agree to use Apex Class Action Administration as the Settlement Administrator. (§1.2)

The proposed Settlement Agreement was submitted to the LWDA on December 15, 2025. (POS.) The Amended Settlement Agreement was submitted to the LWDA on July 13, 2026. (Supplemental Declaration of Nikki Trenner ("Trenner Supp. Decl."), ¶ 45.)

All

class members who do not opt out will release certain claims, discussed in detail below.

ANALYSIS OF SETTLEMENT AGREEMENT

A.

Does a Presumption of Fairness Exist?

1.

Was the Settlement reached through arm's-length bargaining? Yes. In August 2024, the Parties attended a

full day mediation mediated with the Hon. Jan Adler (Ret.), a wage and hour class action mediator, and with the mediator's assistance the Parties reached an agreement. (Declaration of Nikki Trenner ("Trenner Decl."), ¶ 45.)

2.

Were investigation and discovery sufficient to allow counsel and the Court to act intelligently? Yes. Counsel represents that the prior to mediation, Defendant provided Plaintiffs with informal discovery including Plaintiff's personnel, time, and payroll records, time and payroll records for a random sample of about 25% of the class members (which sample Plaintiff's experts suggested would be statistically viable and enable them to extrapolate to the entire class, wage statement exemplars, Defendant's employee handbooks, including Defendant's policies and procedures regarding the payment of wages, timekeeping policies (including recording hours), issuance of wage statements, and termination wages, expense reimbursement policies, as well as information regarding the number of putative Class Members who are current and former employees, the number of Aggrieved Employees, the number of workweeks throughout the Class Period, and the number of pay periods throughout the PAGA Period. (Id. at ¶16.)

3. Is counsel experienced in similar litigation? Yes. Class Counsel is experienced in complex litigation, including wage and hour class action cases. (Id. at ¶¶4-11.)

4.

What percentage of class has objected? This cannot be determined until the fairness hearing. (See Weil & Brown, Cal. Practice Guide: Civil Procedure Before Trial (The Rutter Group 2011) ¶ 14:139.18 ["Should the court receive objections to the proposed settlement, it will consider and either sustain or overrule them at the fairness hearing."].)

B.

Is the settlement fair, adequate and reasonable?

1.

Strength of Plaintiffs' case. "The most important factor is the strength of the case for plaintiffs on the merits, balanced against the amount offered in settlement." (Kullar at 130.)

Class

Counsel have provided the following exposure analysis:

Violation

Maximum Exposure

Unpaid Wages

\$3,630,160

Unpaid Expenses

\$422,210

Wage Statement

Violations

\$2,656,000

Waiting Time Penalties

\$1,498,175

PAGA

\$55,000- \$8,900,000

Total

\$8,261,545.00 - \$17,106,545.00

(Trenner

Decl., ¶¶37-44.)

2.

Risk, expense, complexity and likely duration of further litigation. Further litigation carries the possibility of non-certification and unfavorable rulings on the merits of the above legal issues.

3. Risk of maintaining class

action status through trial. It

would have been Plaintiffs' burden to maintain the class action status through trial.

4.

Amount offered in settlement.

Based on the calculations above, the Settlement amount of \$990,000 therefore represents approximately 6% of the maximum forecasted recovery and 12% of the discounted forecasted recovery in this matter. These percentages are within the "ballpark of reasonableness."

5.

Extent of discovery completed and the stage of the proceedings. As stated above, it appears that Plaintiffs have completed sufficient discovery in order to make an informed decision.

6.

Experience and views of counsel. As indicated above, Class Counsel is experienced in class actions, including wage and hour class action cases. Class Counsel is of the opinion that the settlement is fair, reasonable, and adequate and is in the best interest of the Class in light of all known facts and circumstances.

7. Presence of a governmental participant.

This factor is not applicable.

8.

Reaction of the class members to the proposed settlement. The class members' reactions will not be known until they receive notice and are afforded an opportunity to object or opt-out.

This factor becomes relevant during the fairness hearing.

SCOPE

OF RELEASE

Effective on the date when Defendant fully funds the entire Gross Settlement Amount and funds all employer payroll taxes owed on the Wage Portion of the Individual Class Payments, Plaintiff, and Class Members, will release

claims against all Released Parties as follows: (§15)

All Participating Class Members, on behalf of themselves and their respective former and present representatives, agents, attorneys, heirs, administrators, successors, and assigns, release the Released Parties from (i) all claims that were alleged, or reasonably could have been alleged, based on the facts stated in the Operative Complaint, including, but not limited to, (1) the specific claims asserted in the Operative Complaint, i.e., claims for (i) recovery of unpaid wages and liquidated damages; (ii) failure to furnish accurate itemized wage statements; (iii) failure to timely pay all wages due upon separation of employment; (iv) failure to reimburse business expenses; (v) violations of the Unfair Competition Law, and (2) all claims pursuant to any Federal, State, local, or agency law, rule, regulation, ordinance, executive order, common law, or other requirement that could have been alleged based on the facts in the operative complaint, including, but not limited to, the Fair Labor Standards Act, 29 U.S.C. §201; California Code of Civil Procedure section 1021.5; California Code of Regulations, title 8, sections 11010 and 11040; Industrial Welfare Commission Wage Orders; and California Business and Professions Code sections 17200 et seq. that occurred during the Class Period. Participating Class Members only release these claims for the duration of the Class Period. Except as set forth in Section 5.3 of this Agreement, Participating Class Members do not release any other claims, including claims for vested benefits, wrongful termination, violation of the Fair Employment and Housing Act, unemployment insurance, disability, social security, workers' compensation, or claims based on facts occurring outside the Class Period. ("Class Released Claims"). (§15.2)

All Aggrieved Employees are deemed to release, on behalf of themselves and their respective former and present representatives, agents, attorneys, heirs, administrators, successors, and assigns, the Released Parties from all claims for PAGA penalties that were alleged, or reasonably could have been alleged, based on the facts stated in the Operative Complaint and the PAGA Notice, including, but not limited to: (1) recovery of unpaid wages and liquidated damages; (2) failure to furnish accurate itemized wage statements; (3) failure to timely pay all wages due upon separation of employment; (4) failure to reimburse business expenses; (5) failure to keep accurate records; (6) failure to produce employment records; (7) failure to provide meal periods; (8) failure to provide rest periods; (9) failure to pay overtime wages; (10) failure to separately compensate rest and recovery periods and nonproductive time to piecemeal employees; (11) failure to pay statutory

wages; (12) refusal to make payment; (13) implementing unlawful labor conditions; (14) failure to provide paid sick leave; (15) failure to provide supplemental paid sick leave; (16) unlawful deductions (17) failure to pay reporting time pay; (18) failure to provide a day of rest in seven; (19) failure to pay vested vacation and/or paid time off; (20) failure to pay final wages at the place of discharge; (21) publishing misleading compensation to induce employment; and (22) unlawful agreements and/or criminal inquiries during the PAGA Period. Aggrieved Employees only release these claims for the duration of the PAGA Period. Aggrieved Employees do not release any other claims, including the Class Released Claims, claims for damages, restitution, wages, or claims based on facts occurring outside the PAGA Period. (§5.3)

Named Plaintiff additionally provides a general release and §1542 waiver as to Defendants. (§5.1)

The release of claims by class members is acceptable as it is limited to claims that were or could have been alleged based on the facts alleged, and which arose during the relevant period.

CONDITIONAL CLASS CERTIFICATION

A.

Standards

A detailed analysis of the elements required for class certification is not required, but it is advisable to review each element when a class is being conditionally certified. (*Amchem Products, Inc. v. Windsor* (1997) 521 U.S. 620, 622-627.) The trial court can appropriately utilize a different standard to determine the propriety of a settlement class as opposed to a litigation class certification. Specifically, a lesser standard of scrutiny is used for settlement cases. (*Dunk* at 1807, fn. 19.) Because a settlement eliminates the need for a trial, when considering whether to certify a settlement class, the court is not faced with the case management issues present in certification of a litigation class. (*Global Minerals & Metals Corp. v. Superior Court* (2003) 113 Cal.App.4th 836, 859.) Finally, the Court is under no “ironclad requirement” to conduct an evidentiary hearing to consider whether the prerequisites for class certification have been satisfied. (*Wershba*, *supra* at p. 240.)

B.

Analysis

1.

Numerosity. This action involves a class of approximately 1,104 members. (Trenner Decl., ¶45.)

2.

Ascertainability. This class definition “is precise, objective and presently ascertainable.” (Sevidal v. Target Corp. (2010) 189 Cal.App.4th 905, 919.) Class Members are identifiable from Defendant’s records. (Trenner Decl., ¶45.)

3. Community of interest. “The community of interest requirement involves three factors: ‘(1) predominant common questions of law or fact; (2) class representatives with claims or defenses typical of the class; and (3) class representatives who can adequately represent the class.’” (Linder v. Thrifty Oil Co. (2000) 23 Cal.4th 429, 435.)

Counsel

contends that common questions of law and fact predominate – particularly for purposes of a settlement class – as the Class Members all were subject to the same improper time keeping policies that allegedly failed to accurately record and pay for all hours worked, subject to the same policies that required use of their personal phones, etc. (Trenner Decl., ¶47.)

Further,

counsel contends that Plaintiff’s claims are typical of the Class Members’ claims because they arise from the same factual basis and are based on the same legal theories applicable to the Class Members. Plaintiff further contends Defendant’s policies applied to all Class Members and each Class Member is challenging the same policies and practices. (Id. at ¶46.)

Finally,

counsel contends that Plaintiff is an adequate representative because he has no conflicts of interest with the Class. (Id. at ¶46; Declaration of Plaintiff Dee Lawrence, passim.)

4.

Adequacy of class counsel. As

indicated above, Class Counsel is experienced in class actions.

5.

Superiority. Given the size of the potential individual recovery, it would be impracticable to bring each Class Member's claim as an individual claim.

Because

the elements of class certification have been met, the class may be conditionally certified at this time.

NOTICE TO CLASS

A.

Standard

California Rules of Court, rule

3.769(e) provides: "If the court grants preliminary approval, its order must include the time, date, and place of the final approval hearing; the notice to be given to the class; and any other matters deemed necessary for the proper conduct of a settlement hearing." Additionally, rule 3.769(f) states: "If the court has certified the action as a class action, notice of the final approval hearing must be given to the class members in the manner specified by the court. The notice must contain an explanation of the proposed settlement and procedures for class members to follow in filing written objections to it and in arranging to appear at the settlement hearing and state any objections to the proposed settlement."

B.

Form of Notice

The proposed notice is attached to the Settlement Agreement. The information provided in the proposed notices includes a summary of the litigation, the nature and terms of the settlement, the procedures for participating in, opting out of, or objecting to the settlement, and the time, date, and location of the final approval hearing. The Court finds the notice acceptable.

C.

Method of Notice

Notice

will be by Direct Mail. Not later than 30 days after the Court grants Preliminary Approval of the Settlement, Defendant will simultaneously deliver the Class Data to the Administrator, in the form of a Microsoft Excel spreadsheet. (¶4.1)

Using

best efforts to perform as soon as possible, and in no event later than 14 days after receiving the Class Data, the Administrator will send to all Class Members identified in the Class Data, via first-class United States Postal Service ("USPS") mail and via email (to all Class Members for whom Defendant is able to provide a last known email address), the Class Notice with Spanish translation. Before mailing Class Notices, the Administrator shall update Class Member addresses using the National Change of Address database. (¶7.4.2)

Not

later than 3 business days after the Administrator's receipt of any Class Notice returned by the USPS as undelivered, the Administrator shall re-mail the Class Notice using any forwarding address provided by the USPS. If the USPS does not provide a forwarding address, the Administrator shall conduct a Class Member Address Search, and re-mail the Class Notice to the most current address obtained. The Administrator has no obligation to make further attempts to locate or send Class Notice to Class Members whose Class Notice is returned by the USPS a second time. (¶7.4.3)

If

the Administrator, Defendant or Class Counsel is contacted by or otherwise discovers any persons who believe they should have been included in the Class Data and should have received Class Notice, the Parties will expeditiously meet and confer in person or by telephone, and in good faith in an effort to agree on whether to include them as Class Members. If the Parties agree, such persons will be Class Members entitled to the same rights as other Class Members, and the Administrator will send, via email or overnight delivery, a Class Notice requiring them to exercise options under this Agreement not later than 14 days after receipt of Class Notice, or the deadline dates in the Class Notice, whichever ever are later. (¶7.4.5)

Notice of Final Judgment will be posted on the administrator's website. (§7.9.1)

D.

Cost of Notice

The settlement administration costs are estimated at \$12,500. This amount appears reasonable. However, prior to the time of the final fairness hearing, the Claims Administrator must submit a declaration attesting to the total costs incurred and anticipated to be incurred to finalize the settlement for approval by the Court.

ATTORNEY

FEES AND COSTS

California Rules of Court, rule

3.769(b) states: "Any agreement, express or implied, that has been entered into with respect to the payment of attorney fees or the submission of an application for the approval of attorney fees must be set forth in full in any application for approval of the dismissal or settlement of an action that has been certified as a class action."

Ultimately, the award of attorney fees is made by the Court at the fairness hearing, using the lodestar method with a multiplier, if appropriate. (PLCM Group, Inc. v. Drexler (2000) 22 Cal.4th 1084, 1095-1096; Ramos v. Countrywide Home Loans, Inc. (2000) 82 Cal.App.4th 615, 625-626; Ketchum III v. Moses (2000) 24 Cal.4th 1122, 1132-1136.) In common fund cases, the Court may utilize the percentage method, cross-checked by the lodestar. (Laffitte v. Robert Half Int'l, Inc. (2016) 1 Cal.5th 480, 503.) Despite any agreement by the parties to the contrary, "the court has an independent right and responsibility to review the attorney fee provision of the settlement agreement and award only so much as it determined reasonable." (Garabedian v. Los Angeles Cellular Telephone Company (2004) 118 Cal.App.4th 123, 128.)

The question of whether class counsel is entitled to \$333,333.33

(1/3) in attorneys' fees will be addressed at the fairness hearing when class counsel brings a noticed motion for attorney fees. Counsel should also be prepared to justify

any costs sought (capped at \$25,000)
by detailing how such costs were incurred.

PROPOSED
SCHEDULE OF SETTLEMENT PROCEEDINGS

The
following schedule is proposed by the Court:

Preliminary Approval Hearing – August
4, 2026

Deadline
for Serving Notices to Class Members – _____,
2026 (within 44 days of preliminary approval date)

Deadline
for Objecting or Opting Out – _____, 2026 (45 days from the date the Notice Packets are
mailed to class members)

Deadline for Class Counsel to File
Motion for Final Approval of Settlement and Motion for Attorney Fees (and
respond to any objections) – _____, 2026

(16
court days prior to hearing)

Final Fairness Hearing and Final
Approval – _____, 2026